

OIL AND GAS LEASE

Form 88 - (Prod. Pooling) (Oklahoma)
(640 Shut in) (Paid up) (Revised 1985)

PAID UP

AGREEMENT, made and entered into this 4th day of August, 2015, by and between **E&G Energy, Inc.**, whose address is: **4925 Greenville Ave, Suite 910, Dallas, TX 75206**, party of the first part, hereinafter called Lessor (whether one or more), and, **Green Wing Energy, LLC**, whose address is: **P.O. Box 13647, Oklahoma City, OK 73113**, party of the second part, hereinafter called Lessee.

WITNESSETH, That the said Lessor, for and in consideration of *****Ten and More (\$10.00)*** DOLLARS**, cash in hand paid, receipt of which is hereby acknowledged and of the covenants and agreements hereinafter contained on the part of Lessee to be paid, kept and performed, has granted, demised, leased and let and by these presents does grant, demise, lease and let exclusively unto the said Lessee, for the sole and only purpose of exploring by geophysical surveys, by seismograph, core test, gravity and magnetic methods, mining, and operating for oil (including but not limited to distillate and condensate), gas (including casinghead gas and helium and all other constituents), injecting gas, water and other fluids and air unto subsurface strata, the drilling of wells and the construction and use of roads, canals, pipelines, tanks, water wells, disposal wells, injection wells, pits, electric and telephone lines, power stations, and other facilities deemed necessary by Lessee to discover, produce, store, treat and/or transport production and, in exploring for, developing, producing and marketing oil, gas and other substances covered hereby on the leased premises or lands pooled or unitized therewith, in primary and/or enhanced recovery, Lessee shall have the right of ingress and egress along with the right to conduct such operations on the leased premises as may be reasonably necessary, all that certain tract of land, together with any reversionary rights therein, situated in the County of **Cimarron**, State of Oklahoma, described as follows, to-wit:

The Southeast Quarter (SE/4) See Attached Exhibit "A"

of Section 12, Township 1N, Range 9E and containing 160.00 acres, more or less.

1. It is agreed that this lease shall remain in force for a term of **Three (3)** years from date (herein called primary term) and as long thereafter as oil or gas, or either of them is produced from said land by the Lessee.
2. In consideration of the premises the said lessee covenants and agrees:
 - A. To deliver to the credit of Lessor free of cost, in the pipeline to which it may connect its wells, the three-sixteenth (3/16) part of all oil (including but not limited to condensate and distillate) produced and saved from the leased premises.
 - B. To pay Lessor for gas of whatsoever nature or kind (with all of its constituents) produced and sold or used off the leased premises, or used in the manufacture of products therefrom, three-sixteenth (3/16) of the gross proceeds received by Lessee from the sale of such produced substances where the same is sold at the mouth of the well, or if not sold at the mouth of the well, then three-sixteenth (3/16) of the market value thereof at the mouth of the well, but in no event more than three-sixteenth (3/16) of the net proceeds of the sale thereof, (which shall be the amount realized from such sales less cleaning, sweetening, compressing, dehydrating, separating, gathering and transporting, and other costs necessary to render it marketable pipeline gas, hereinafter referred to as "improvement expenses"), said payments to be made monthly. For purposes of this provision, the produced substances shall be considered as not being sold at the mouth of the well if any of the improvement expenses are borne by the Lessee rather than the party to whom the produced substances are sold. During any period (whether before or after expiration of the primary term hereof) when gas is not being so sold or used and the well or wells are shut in and there is not current production of oil or operations on said leased premises sufficient to keep this lease in force, Lessee shall pay or tender a royalty of One Dollar (\$1.00) per year per net royalty acre retained hereunder, such payment or tender to be made, on or before the anniversary date of this lease next ensuing after the expiration of ninety (90) days from the date such well is shut in and thereafter on the anniversary date of this lease during the period such well is shut in, to the royalty owners. When such payment or tender is made it will be considered that gas is being produced within the meaning of the entire lease.
 - C. To pay Lessor for gas produced from any oil well and used off the premises, or for the manufacture of casinghead gasoline or dry commercial gas, three-sixteenth (3/16) of the gross proceeds, at the mouth of the well, received by Lessee for the gas during the time such gas shall be used, said payments to be made monthly.
3. ~~All money payments permitted or required by the terms of this lease shall be paid or tendered to Lessor or to Lessor's credit in Bank at _____ or its successors, which shall be Lessor's depository agent for receiving payments regardless of changes in ownership of said land. All payments or tenders may be made in currency, or by check or by draft and such payments or tenders to Lessor or to the depository by deposit in the U.S. Mails in a stamped envelope addressed to the depository or to the Lessor at the last address known to Lessee shall constitute proper payment. If the depository should liquidate or be succeeded by another institution, or for any reason fail or refuse to accept payment hereunder, Lessor shall, at Lessee's request, deliver to Lessee a proper recordable instrument naming another institution as depository agent to receive payments.~~
4. If the Lessee shall commence to drill a well or commence reworking operations on an existing well within the primary term of this lease, or on acreage pooled therewith, the Lessee shall have the right to drill such well to completion or complete reworking operations or drill additional wells as necessary, with no cessation of operations for more than one hundred twenty (120) consecutive days, and if oil or gas, or either of them, be found in paying quantities, this lease shall continue and be in force and effect with like effect as if such well has been completed within the term of years first mentioned. Should production from the above described land, or from acreage pooled therewith, cease from any cause after the expiration of the primary term, this lease shall not terminate provided Lessee commences operations to attempt to restore production or commences drilling another well, on the above described land or on land pooled therewith, within one hundred and twenty (120) days from such cessation, and prosecutes any such operations with due diligence, and if such production is restored through any such operations this lease shall continue with the like effect as if there had been no cessation thereof.
5. Lessee is hereby granted the right at any time and from time to time to unitize the leased premises or any portion or portions thereof, as to all strata or any stratum or strata, with any other lands as to all strata or any stratum or strata, for the production primarily of oil or primarily of gas with or without distillate. However, no unit for the production primarily of oil shall embrace more than 160 acres, or for the production primarily of gas with or without distillate more than 640 acres; provided that if any governmental regulation shall prescribe a spacing pattern for the development of the field or allocate a producing allowable based on acreage per well, then any such unit may embrace as much additional acreage as may be so prescribed or as may be used in such allocation of allowable. Lessee shall file written unit designations in the county in which the leased premises are located. Operations upon and production from the unit shall be treated as if such operations were upon or such production were from the leased premises whether or not the well or wells are located thereon. The entire acreage within a unit shall be treated for all purposes as if it were covered by and included in this lease except that the royalty on production from the unit shall be as below provided, and except that in calculating the amount of any shut in gas royalties, only the part of the acreage originally leased and the actually embraced by this lease shall be counted. In respect to production from the unit, Lessee shall pay Lessor, in lieu of other royalties thereon, only such proportion of the royalties stipulated herein as the amount of his acreage placed in the unit, or his royalty interest therein on an acreage basis, bears to the total acreage in the unit.
6. If said Lessor owns an interest in the above described land which is less than the entire and undivided fee simple estate therein, then the royalties herein provided shall be paid to the Lessor only in the proportion which his interest bears to the whole and undivided fee.
7. Lessee shall have the right to use, free of cost, gas, oil and water produced on said land for its operations thereon, except water from wells of Lessor.
8. When requested by the Lessor, Lessee shall bury his pipe lines below plow depth.
9. No well shall be drilled nearer than 200 feet to the house or barn now on said premises, without the written consent of the Lessor.
10. Lessee shall pay for all damages caused by its operations to growing crops on said land.
11. Lessee shall have the right at any time to remove all machinery and fixtures placed on said premises, including the right to draw and remove casing.
12. If the estate of either party hereto is assigned, and the privilege of assigning in whole or in part is expressly allowed, the covenants hereof shall extend to their heirs, executors, administrators, successors or assigns. However, no change or division of ownership of the land or royalties shall enlarge the obligations or diminish the rights of the Lessee. No change in the ownership of the land or royalties shall be binding on the Lessee until

after the Lessee has been furnished with a written transfer or assignment or a true copy thereof. In case Lessee assigns this lease, in whole or in part, Lessee shall be relieved of all obligations with respect to the assigned portion or portions arising subsequent to the date of assignment.

13. All express or implied covenants of this lease shall be subject to all Federal and State Laws, Executive Orders, Rules and Regulations, and this lease shall not be terminated in whole or in part, nor Lessee held liable in damages, for failure to comply therewith, if compliance is prevented by, or such failure is the result of any such Law, Order, Rule or Regulation.

14. This lease shall be effective as to each Lessor or execution hereof as to his or her interest and shall be binding on those signing, notwithstanding some of the Lessors above named may not join in the execution hereof. The word "Lessor" as used in this lease means the party or parties who execute this lease as Lessor, although not named above.

15. Lessee may at any time and from time to time surrender this lease as to any part or parts of the leased premises by delivering or mailing a release thereof to Lessor, or by placing a release of record in the proper County.

16. Lessor hereby warrants and agrees to defend the title to lands herein described and agrees that the Lessee shall have the right at any time to redeem for Lessor by payment any mortgages, taxes or other liens on the above described lands, in the event of default of payment by Lessor, and be subrogated to the rights of the holder thereof.

17. This is a PAID-UP LEASE. In consideration of the cash down payment, Lessor agrees that Lessee shall not be obligated except as otherwise provided herein, to commence or continue any operations during the primary term. Whenever used in this lease the word "operations" shall mean operations for any of the following: drilling, testing, completing, reworking, recompleting, deepening, plugging back or repairing of a well in search for or in an endeavor to obtain production of oil, gas, sulphur or other minerals, excavating a mine, production of oil, gas, sulphur or other mineral, whether or not in paying quantities.

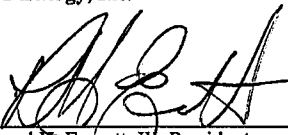
18. ~~In the event this lease is not continued beyond the primary term by production, on-going operations or by any other means or provision herein contained, Lessee shall have the option, but not the obligation, to extend the primary term of this lease, as to all or any portion of the leased premises, for an additional and extended term of Two (2) years, and so long thereafter as this lease is continued or maintained in force and effect by the production, or the allocation to the leased premises, of oil, gas or other hydrocarbons, or by any other means or provisions herein contained. Lessee may exercise the option to extend this lease as to all or any portion of the leased premises by tendering to Lessor, at the address stated above and on or before the expiration date of the initial primary term of this lease, an additional consideration of One Hundred Percent (100%) of the per acre bonus consideration originally paid for this lease.~~

19. In the event Lessor considers that Lessee has not complied with all its obligations hereunder, both express and implied, Lessor shall notify Lessee in writing, setting out specifically in what respects Lessee has breached this contract. Lessee shall then have sixty (60) days after receipt of said notice within which to meet or commence to meet all or any part of the breaches alleged by Lessor. The service of said notice shall be precedent to the bringing of any action by Lessor on said lease for any cause, and no such action shall be brought until the lapse of sixty (60) days after service of such notice on Lessee. Neither the service of said notice nor the doing of any acts by Lessee aimed to meet all or any of the alleged breaches shall be deemed an admission or presumption that Lessee has failed to perform all its obligations hereunder. Should it be asserted in any notice given to the Lessee under the provisions of this paragraph that Lessee has failed to comply with any implied obligation or covenant hereof, this lease shall not be subject to cancellation for any such cause except after final judicial ascertainment that such failure exists and Lessee has then been afforded a reasonable time to prevent cancellation by complying with and discharging its obligations as to which Lessee has been judicially determined to be in default. If this lease is canceled for any cause, it shall nevertheless remain in force and effect as to (1) sufficient acreage around each well as to which there are operations to constitute a drilling or maximum allowable unit under applicable governmental regulations, (but in no event less than forty acres), such acreage to be designated by Lessee as nearly as practicable in the form of a square centered at the well, or in such shape as then existing spacing rules require; and (2) any part of said land included in a pooled unit on which there are operations.

20. If, while this leases is in force, at, or after the expiration of the primary term hereof, it is not being continued in force by reason of the shut-in well provisions of paragraph 2B hereof, and Lessee is not conducting operations on said land by reason of (1) any law, order, rule, or regulation, (whether or not subsequently determined to be invalid) or (2) any other cause, whether similar or dissimilar (except financial), beyond the reasonable control of Lessee, the primary term hereof shall be extended until the first anniversary date hereof occurring ninety (90) or more days following the removal of such delaying cause, and this lease may be extended thereafter by operations as if such delay had not occurred.

IN TESTIMONY WHEREOF, we sign this on the 12th day of AUGUST, 2015.

E&G Energy, Inc.


Richard H. Everett, III, President

NOTARY ACKNOWLEDGMENT

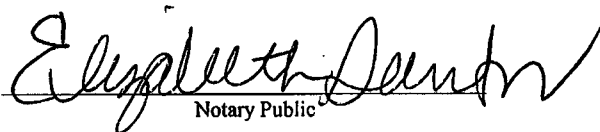
THE STATE OF TEXAS §

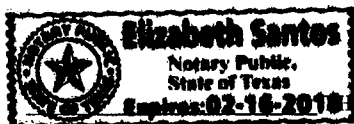
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THE COUNTY OF DALLAS §

Before me, the undersigned Notary Public, in and for said County and State of the 12th day of AUGUST, 2015 personally appeared Richard H. Everett, III to be the identical person who subscribed the name of the maker therefore to the foregoing instrument as its President and acknowledged to me that he executed the same as his free and voluntary act and deed and as the free and voluntary act and deed of E&G Energy, Inc., for the uses and purposes therein set forth. Given under my hand and seal the day and year last above written.

My Commission Expires:


Notary Public



THIS SPACE PROVIDED FOR RECORDING INFORMATION

AFTER RECORDING MAIL TO:

Green Wing Energy, LLC
P.O. Box 13647
Oklahoma City, OK 73113

EXHIBIT A

Attached to and made a part of that certain oil, gas and mineral lease dated August 3rd, 2015, between E&G Energy, Inc., as Lessor, and Green Wing Energy, LLC as Lessee, covering lands in Cimarron County, Oklahoma.

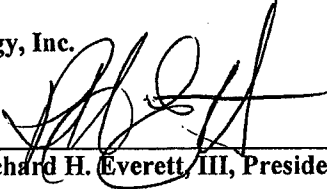
Notwithstanding anything to the contrary in the foregoing printed form, it is agreed and understood that the following provisions shall supplant or modify the foregoing as applicable.

1. In the event Lessee pays to Lessor a shut-in royalty as provided for in the printed form, such payment shall be in the amount of \$5.00 per net acre for each acre within the shut-in unit, provided that this lease may not be so maintained, by payment of said amount, for more than two (2) years beyond the expiration of the primary term or from time to time, not to exceed two (2) years in the aggregate.
2. There is excepted and reserved to the Lessor herein all uranium, fissionable materials, and all bentonite, Fuller's earth, and other clay like substances, and it is specifically understood and agreed that this lease covers only oil and gas, associated liquid or liquefiable hydrocarbons including sulphur produced in conjunction therewith, but this lease does not cover or include any other minerals, with all, or other minerals being reserved to the Lessor herein. Accordingly, the words oil, gas, when used herein shall mean oil and gas, liquid or other liquefiable hydrocarbons, and the words all other minerals if the same appears whenever used herein shall be stricken from this lease so that all other minerals as defined herein are reserved to the Lessor.
3. Notwithstanding anything to the contrary herein, it is agreed that upon the expiration of the primary term, if this lease should be continued by reason of production in paying quantities from a producing well situated on the herein leased premises or upon acreage pooled therewith, then in that event, this lease shall terminate as to all depths one hundred feet (100') below the deepest depth drilled on the herein leased premises or lands pooled therewith.
4. Lessee, upon request by Lessor, will provide Lessor with one (1) copy of each well log, both field prints and final prints, within five (5) days after said request. Lessee shall also furnish Lessor upon request a copy of productivity tests and reports of volume of oil, gas and water produced from any well located on the herein leased premises. Any information so furnished by Lessee shall be held confidential to and for the sole use of Lessor for and during the life of this Oil and Gas Lease.
5. Commencement of operations for drilling a well to hold this lease is defined as having a rig capable of drilling to the proposed permitted depth of a well on the leased premises or lands pooled therewith, with all necessary equipment and pits in place, and with subsurface drilling operations ongoing as of the date the lease would otherwise terminate.
6. This lease is executed without warranty of title, either expressed or implied.
7. At the expiration of this lease or any portion thereof, Lessee, its successors or assigns, will furnish Lessor with a release of same.

SIGNED FOR IDENTIFICATION

E&G Energy, Inc.

By:


Richard H. Everett, III, President

END OF EXHIBIT A

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09/01/2015 10:48 AM Pg 0311-0313
Fee: \$ 17.00 Doc: \$ 0.00
Coleen Allen - Cimarron County Clerk
State of Oklahoma

